

GRANULES PHARMACEUTICALS, INC.

AUDIT REPORT

APRIL 1, 2015 to MARCH 31, 2016

Prepared by:

CHUGH CPAs, LLP

2900 Gordon Ave, Ste 100,
Santa Clara, CA 95051

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
of Granules Pharmaceuticals, Inc.

We have audited the accompanying financial statements of Granules Pharmaceuticals, Inc. a Delaware corporation, which comprise the balance sheets as of March 31, 2016 and the related statements of income, statement of changes in stockholders' equity, and cash flows for the period from April 1, 2015 to March 31, 2016, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.



We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Granules Pharmaceuticals, Inc. as of March 31, 2016, and the results of its operations and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Chugh CPAs LLP

Chugh CPAs, LLP
Santa Clara, CA
April 27, 2016

GRANULES PHARMACEUTICALS INC
BALANCE SHEET
AS OF MARCH 31, 2016

ASSETS

CURRENT ASSETS

Cash and Cash Equivalents	\$	89,359
Prepaid Expenses		22,154
Advances		<u>341</u>

TOTAL CURRENT ASSETS 111,854

NON CURRENT ASSETS

Deferred Tax Asset (Note 4)	<u>1,922,588</u>
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TOTAL NON CURRENT ASSETS 1,922,588

PROPERTY & EQUIPMENT

Property, Plant & Equipment, at cost	5,163,423
Less: Accumulated Depreciation	<u>(230,536)</u>

PROPERTY & EQUIPMENT, NET 4,932,887

OTHER ASSETS

Deposits	<u>403,309</u>
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TOTAL ASSETS \$ 7,370,638

GRANULES PHARMACEUTICALS INC**BALANCE SHEET****AS OF MARCH 31, 2016**

LIABILITIES AND STOCKHOLDERS' EQUITY**CURRENT LIABILITIES**

Accounts Payable	\$ 93,717
Credit Card payable	17,062
Payroll Payable	30,693
Payroll taxes payable	<u>2,320</u>

TOTAL CURRENT LIABILITIES 143,792

LONG TERM LIABILITIES

Accrued Interest - Granules India	133,742
Loan from Granules India	<u>7,800,000</u>

TOTAL LONG TERM LIABILITIES 7,933,742

TOTAL LIABILITIES 8,077,534

STOCKHOLDERS EQUITY

Common Stock: \$0.001 Par value, 10,000,000 Authorized Shares	
2,000,000 shares issued and outstanding	2,000
Additional Paid in Capital	1,998,000
Retained Earnings	<u>(2,706,896)</u>

TOTAL STOCKHOLDERS' EQUITY (706,896)

TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY \$ 7,370,638

GRANULES PHARMACEUTICALS INC
STATEMENT OF INCOME
FOR THE YEAR ENDED MARCH 31, 2016

REVENUE

Sales & Service Revenue	\$ -
TOTAL REVENUES	-
GROSS PROFIT	-

OPERATING EXPENSES

Selling, General & Administrative Expenses (Schedule A)	4,474,271
TOTAL SELLING, GENERAL AND ADMINISTRATIVE EXPENSES	4,474,271
LOSS FROM OPERATIONS	(4,474,271)

OTHER INCOME

Other Income	2,854
LOSS BEFORE INCOME TAX	(4,471,417)

INCOME TAX BENEFIT

Income Tax Benefit (Note 4)	1,863,355
NET LOSS	\$ (2,608,062)

GRANULES PHARMACEUTICALS INC
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
FOR THE YEAR ENDED MARCH 31, 2016

	Common Stock		Additional Paid In Capital	Retained	Total
	# of Shares	Amount		Earnings	Stockholders'
					Equity
BALANCE, MARCH 31, 2015	2,000,000	\$ 2,000	\$ 1,998,000	\$ (98,834)	\$ 1,901,166
Net Income	-	-	-	(2,608,062)	(2,608,062)
BALANCE, MARCH 31, 2016	2,000,000	2,000	1,998,000	\$ (2,706,896)	\$ (706,896)

GRANULES PHARMACEUTICALS INC
STATEMENT OF CASH FLOW
FOR THE YEAR ENDED MARCH 31, 2016



CASH FLOWS FROM OPERATING ACTIVITIES

Net Loss	\$ (2,608,062)
Adjustment to reconcile Net Income to Net Cash	
Depreciation expenses	230,536
Provided by Operating Activities:	
(Increase) decrease in operating assets:	
Deferred tax asset	(1,863,355)
Prepaid expenses	38,935
Deposits	(100,000)
Advances	(341)
Increase (decrease) in operating liabilities:	
Accounts payable	93,717
Credit card payable	17,062
Provision for payroll expenses	30,693
Provision for payroll tax	2,320
Provision for Interest expenses	126,468
Net cash used by Operating Activities	(4,032,027)

CASH FLOWS FROM INVESTING ACTIVITIES

Purchase of Fixed asset	(3,274,339)
Net cash used by Investing Activities	(3,274,339)

CASH FLOWS FROM FINANCING ACTIVITIES

Loans from Granules USA	(500,000)
Loans from Granules India	7,800,000
Net cash provided by Financing activities	7,300,000

NET DECREASE IN CASH	(6,366)
CASH, beginning of year	95,725
CASH, end of year	\$ 89,359

NOTE 1 – NATURE OF BUSINESS

Granules Pharmaceuticals, Inc. (“GPI” the “Company”) was incorporated on October 20, 2014 in Delaware. The Company is a wholly owned subsidiary of Granules India Limited, a company incorporated in India. The Company will focus on Research and Development and Manufacturing of pharmaceutical formulations. The Company is expected to commence the operations in 2016-2017.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The Company uses the accrual method of accounting for both financial reporting and income tax reporting.

Use of Estimates

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Significant items subject to such estimates and assumptions include the useful lives of property, machinery and equipment, allowances for doubtful accounts and sales returns, recognition of deferred tax assets, amortization period of intangibles, inventory, and provision for employee benefit obligations, income tax uncertainties and other contingencies.

Cash and Cash Equivalents

Cash and cash equivalents consists primarily of cash in checking account.

Accounts Receivable

The Company has not generated any revenue for the period ended March 31, 2016 and accordingly there is no accounts receivable balance as of March 31, 2016.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided principally on a straight-line method over the estimated useful lives of the assets when the asset has been put to use. The Company has put some assets to use during the year

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



ended March 31, 2016 and accordingly depreciation for the year ended March 31, 2016 is expensed for the assets put to use.

Estimated useful lives of the assets put to use are as follows:

Computers	3 to 5 years
Equipment	3 to 7 years
Furniture and fixtures	3 to 7 years
Vehicles	5 years
Improvements	15 years

When assets are retired or otherwise disposed of, the cost and related accumulated depreciation is removed from the accounts and the resulting gain or loss on disposal is reflected in the financial statements. Expenditures for major renewals and betterments that extend the useful life of the property and equipment are capitalized. Expenditures for minor repairs and maintenance are charged to expense as incurred.

Revenue Recognition

Revenue is recognized when significant risk and rewards in respect of ownership are transferred to the customer and when the following criteria are met:

- Persuasive evidence of an arrangement exists
- Delivery has occurred
- The price to the customer is fixed and determinable and
- Collectability of the sales price is reasonably assured

The Company has not started to generate revenue during the period ended March 31, 2016.

Income Taxes

The Company accounts for income taxes in accordance with FASB ASC No. 740 (formerly SFAS No. 109) "*Accounting for Income Taxes*", which requires an asset and liability approach to financial accounting and reporting of income taxes. Deferred income tax assets and liabilities are computed annually for differences between the financial statement and tax basis of assets and liabilities that will result in taxable or deductible amounts in the future based on the enacted tax laws and rates applicable to the periods in which the differences are expected to affect taxable income.

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



Research and development

Expenditures for research and development are expensed as incurred and include salaries, benefits and other employee related costs; clinical trial and related clinical manufacturing costs, pharmaceutical supplies and other outside service fees and facilities and overhead costs.

Leases

The Company accounts for the lease of its office space as an operating lease. The related rentals are charged to expense in the period in which they are incurred.

NOTE 3 – RELATED PARTY TRANSACTION

The Company has repaid a loan of \$500,000 to Granules USA, a wholly owned subsidiary of Granules India Limited, India along with interest on the outstanding loan @3% p.a.

The Company has taken loan of \$7,800,000 from Granules India Limited, India, the parent company. The Company has accrued interest on the outstanding loan @ 4% amounting to \$133,742 for the year ended March 31, 2016.

NOTE 4 – INCOME TAXES

The Company accounts for income taxes under the provisions of FASB ASC 740, “Accounting for Income Taxes”. Under ASC 740, deferred taxes are required to be classified based on the financial statement classification of the related assets and liabilities which give rise to temporary differences. Deferred taxes result from temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

All of the income before tax as shown in the statement of income for the period ended March 31, 2016 is derived in the United States.

The components of income tax (expense) benefit relating to earnings from operations are as follows:

		03/31/2016
<u>State</u>		
Current	\$ -	
Deferred	173,910	173,910
<u>Federal</u>		

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



Current	\$ -	
Deferred	1,689,445	1,689,445
Total Income Tax Benefit		\$ 1,863,355

The components of deferred tax asset as on March 31, 2016 are as follows:

		03/31/2016
<u>Net Operating Loss</u>		
State	\$ 168,820	
Federal	1,639,962	1,808,782
<u>Depreciation</u>		
State	6,883	
Federal	66,898	73,781
<u>Research Credit</u>		
State	3,736	
Federal	36,289	40,025
Total Deferred Tax Asset		\$ 1,922,588

NOTE 5: PROPERTY, PLANT AND EQUIPMENT

The property, plant and equipment for the year ended March 31, 2016 consists of the following:

Automobiles	\$ 31,137
Computers	48,566
Furniture & Fixtures	34,196
Improvements	1,830,951
Machinery & Equipment	3,216,802
Television	1,771
Less: Accumulated depreciation	<u>(230,536)</u>
Net Property, Plant and Equipment	<u>\$ 4,932,887</u>

Depreciation expenses for the year ended March 31, 2016 totaled to \$230,536.

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



NOTE 6– STOCKHOLDERS’ EQUITY

The Company was incorporated on October 20, 2014 with an authorized capital of 10,000,000 shares of its common stock with par value of \$0.001 per share. The Company had 2,000,000 common stocks issued and outstanding as on March 31, 2016. The Company had additional paid in capital of \$ 1,998,000 as on March 31, 2016.

There were no stocks issued and no additional paid in capital is contributed during the year ended March 31, 2016.

NOTE 7 - RETIREMENT PLANS

The Company has a 401(k) Defined Contribution plan. Under the plan, each employee can elect to participate after meeting the minimum age requirement and other eligibility requirements set forth in Adoption agreement. The Company makes matching contribution to the plan up to 2% of employee wages for those electing to participate in the plan.

The total employer contribution for the year ended March 31, 2016 was \$7,743. The 401 K contribution are charged to expense in the period in which they are incurred.

NOTE 8– RESEARCH & DEVELOPMENT EXPENSES

Research and development expenses for the year ended March 31, 2016 consists of the following:

Pharmaceutical supplies	\$	211,400
Cost of Labor		404,369
Total Research & Development expenses	\$	615,769

NOTE 9 – CONTINGENCIES AND COMMITMENTS

There are no pending legal actions, including arbitrations, class actions and other litigation, arising in connection with the Company’s activities. Legal reserves are established in accordance with FASB ASC 450 (formerly known as SFAS No. 5), “*Accounting for Contingencies*”. Once established, reserves are adjusted when there is more information available or when an event occurs requiring a change.

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



There are no legal reserves in the statement of financial condition as of March 31, 2016.

Office Space:

The Company has entered into a long term lease agreement to rent out the office space in Chantilly, Virginia on December 1, 2014 for a period of ten years and five months. The lease expires on April 30, 2025. As per the lease agreement the no rent was charged for the period December 1, 2014 to May 15, 2015. As per the financial statement, rent expensed for the period May 16, 2015 to March 31, 2016 is \$ 562,933.

The future minimum lease payments under this operating lease agreement are as follows:

<u>Year</u>	<u>Amount</u>
2016 - 2017	663,591
2017 - 2018	683,498
2018 - 2019	704,003
2019 - 2020	725,123
2020 - 2021	746,877
2021 - 2022	769,284
2022 - 2023	792,362
2023 - 2024	816,133
2024 - 2025	876,482
2025 - 2026	80,405

NOTE 10– SUBSEQUENT EVENTS

The Company has evaluated subsequent events till April 27,2016 which is the date the financial statements are available for issue and the Company has concluded that no events or transactions have occurred which would require adjustments or disclosures in the Company’s financial statements.

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



The Company has borrowed \$500,000 on April 11, 2016 and agreed to borrow \$ 300,000 on April 28, 2016 from Granules USA, a wholly owned subsidiary of Granules India Limited, India at an agreed interest of 4% p.a. This has no financial impact.

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○New Mexico

INDEPENDENT AUDITORS' REPORT ON SUPPLEMENTAL INFORMATION

To the Board of Directors
of Granules Pharmaceuticals, Inc.

We have audited the financial statements of Granules Pharmaceuticals, Inc. as of and for the period ended March 31, 2016 and our report thereon dated April 27, 2016, which expressed an unmodified opinion on those financial statements, appears on page 1-2. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The information in Schedule A: Statement of Selling, General and Administrative Expenses are presented for purposes of additional analysis of the financial statements rather than to present the financial position, results of operations, and cash flows of the individual companies, and it is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Chugh CPAs LLP

Chugh CPAs, LLP
Santa Clara, CA
April 27, 2016

GRANULES PHARMACEUTICALS INC
SCHEDULE A
SELLING, GENERAL AND ADMINISTRATIVE EXPENSES
FOR THE YEAR ENDED MARCH 31, 2016

401K Expenses	7,743
Audit fees	11,000
Automobile Expenses	4,162
Bank Service Charges	6,784
Cleaning Expenses	81,089
Common Area Maintenance Expense	236,733
Computer and Internet Expenses	36,550
Consulting Fees	206,563
Depreciation expenses	230,536
Equipment Rental	4,276
Taxes- others	5,857
Furniture Rental	2,455
Insurance Expenses	134,579
Interest Expenses	138,242
Legal & Professional Fees Expenses	113,584
Licenses & Permits	37,891
Meals and Entertainment Expenses	5,427
Miscellaneous Expenses	592
Moving & Storage Expenses	27,482
Office & administrative Expenses	3,740
Office Supplies Expenses	34,211
Outside Services Expenses	243,000
Packing Supplies	12,588
Payroll Expenses	1,484,971
Payroll Processing Fees	2,822
Payroll Taxes	120,784
Periodicals & Subscriptions	362
Pest Control	3,168
Pharmaceutical Services	35,153
Pharmaceutical Supplies	61,076
Postage expense	5,839
Printing & Stationery	1,813
Rent Expenses	562,933
Repairs and Maintenance Expenses	140,659
Research and Development Expenses	211,400
Security Expenses	4,251
Shipping Expenses	9,780
Telephone Expenses	5,017
Training Expenses	715
Travel Expenses	55,407
Uniforms	7,192
Utilities Expenses	175,845
TOTAL SELLING, GENERAL AND ADMINISTRATIVE EXPENSES	<u><u>\$ 4,474,271</u></u>